Data Centers

Due Diligence

A City, County, and State Assessment of

Data Center Development in San Angelo, Texas

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Glossary of Sections

Sections are listed in reading order. Visual insert placeholders are shown in the order they would appear in the report if inserted at the recommended locations. Request any visual insert by number when ready to produce it as a standalone PDF for placement.

Executive Summary

Front matter. What is at stake, what the report found, and what action is required from city council, commissioners court, and state legislators. Three-column action table.

First: An Important Distinction

The fundamental difference between Type 1 traditional colocation (Skybox, inside city limits) and Type 2 AI hyperscale compute (Cipher and Beacon, unincorporated county land). Why conflating them has produced confusion. Geography note with fourth data center disclosure.

Chapter 1: The AI Infrastructure Boom

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Chapter 2: The Financial Model Under the Hood

How these deals actually get structured. The demand problem. Market timing risk for San Angelo. Who is betting against this. The DeepSeek moment. Warning to local contractors.

Chapter 3: The Power Problem Nobody Can Solve

ERCOT crisis. Nuclear timeline. Behind the meter and HB 3970. The transmission line problem and eminent domain.

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Chapter 5: Action Plan for AI Hyperscale Facilities — County and State

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A National Security Dimension This Report Cannot Fully Address

Goodfellow AFB and the proposed facilities. The CFIUS notification. Why infrastructure permanence matters regardless of current ownership.

A Note on Data Integrity and the Limits of This Report

The gap between public figures and city planning documents. Skybox building count discrepancy. Emergent 1.2GW brochure vs 600MW public figure. Conservative floor, not ceiling.

About the Author

Spencer Matthews. Background. Original position in favor of the development. What changed it. The only development the author can currently support.

Author Disclosure

Independence statement. No financial interest. Recommended source for financial analysis.

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Challenges to Deliver on Promises

For the Citizens of San Angelo, TX

Executive Summary

This report is built on the foundation of work already done by a substantial number of San Angelo residents, planning professionals, community advocates, and concerned citizens who devoted considerable time and expertise to understanding what is being proposed. Their research, analysis, and public testimony form the backbone of what follows. This is a consolidation of those efforts alongside the author's own independent analysis. The final guidance is the author's.

When data center development was first proposed for San Angelo, the initial response was one of cautious optimism. Economic diversification, technology investment, and quality employment are objectives any community would reasonably pursue. That posture held through the early stages of public discussion.

What shifted it was not opposition sentiment. It was the recognition that this is a national phenomenon of significant and accelerating scale — that the financial structures underlying these proposals carry complexity and risk not reflected in the public presentation — and that a community being asked to commit public land, water, and infrastructure to long-term private obligations is entitled to the same information that developers and their investors already have.

San Angelo has been genuinely divided by this debate. Thoughtful, good-faith people hold positions across the full spectrum of this question. This report does not discount the legitimate case for responsible development. It is an attempt to ensure that the elected officials, county commissioners, and state legislators making decisions on behalf of this community do so with complete information — and that the community has an independent basis for evaluating those decisions.

The Three Projects

The Three Projects

1. Skybox / Emergent SA1 — City-owned land, 347 acres, inside city limits. Established Texas colocation developer with execution track record. Conditional path exists. No anchor tenant confirmed. No ERCOT allocation confirmed. 380 agreement unpublished. Independent financial study unreleased. Developer investor materials describe an AI and HPC campus at up to 1.2 GW — materially different from the colocation facility described publicly. Conditions must be met before any land transfer.

2. Cipher Digital / Colchis — Unincorporated county, approximately 695 acres, 2,500 feet from Skybox. $4.73 billion in debt. Never profitable. Interest expense exceeds primary revenue by 70%. No confirmed anchor tenant at Colchis. Controlling ownership through Latvian nationals via foreign holding entities. 47% joint venture partner undisclosed. Within CFIUS 100-mile review radius of Goodfellow AFB. No federal notification on file. **Do not proceed.**

3. Beacon Data Centers / Westline / Dove Creek — Unincorporated county, Precinct 4. No TCEQ permit. No RRC pipeline filing. No anchor tenant. No disclosed investors. No confirmed specifications. Canadian ownership through Nadia Partners with undisclosed investors. Within CFIUS 100-mile review radius of Goodfellow AFB. Broke public commitment on well water in the same presentation that made it. **Do not proceed.**

Skybox: Viable Company, Terrible Market Timing

Skybox is a legitimate Texas colocation developer with proven execution. The company is not the problem. The market is.

Metric	2025	2027-2029	Implication
Colocation rates	$184/kW/mo	$110-140/kW/mo	Margin compression
New capacity (GW/yr)	15 GW	25-30 GW	Supply glut
Power costs	Rising	Higher	Margin squeeze

The data center market is real and the long-term demand case is credible. The concern is timing. The global pipeline of facilities under construction is substantial. A facility coming online in 2028–2029 enters a more competitive supply environment than exists today, with more options for tenants and less pricing power for operators. At the same time, energy costs are rising and are projected to continue rising and energy is the dominant operating expense in this business (PU = Power Utilization). Those two pressures together compress the margin available to a new facility still working toward stabilized occupancy. These are not predictions. They are the conditions any investor would stress-test before committing capital.

Skybox Recommendation: Two Buildings, Five Years, Then Evaluate

Limit initial phase to two buildings (800,000 sq ft, approximately 115 acres).

Conditions:

- Confirmed ERCOT power allocation in writing
- Named anchor tenant with executed lease
- City water ordinance finalized with binding caps and drought priority
  Cap at: 6,300,000 gallons per year.
- Real estate attorney (hired by city) structures phased land sale with clawback provisions
- No incentives. No infrastructure allowances. Pure real estate economics.

After Building 1 reaches 70% occupancy and Building 2 is operational, measure actual margin performance against projections. If the model holds under margin pressure, proceed to Phase 2. If not, the city retains the additional 235 acres for other economic cluster aligned businesses.

Cipher and Beacon: Do Not Proceed

Cipher Digital: (BVI, Dutch, Latvia) Circular financing without proven revenue. Q1 2026 shows $59M quarterly interest expense exceeding $35M revenue by 70%. $4.73B debt, never profitable, accumulated deficit $1.118B. Colchis has zero confirmed anchor tenant. Undisclosed 47% minority partner holds buyout rights outside Cipher's control. Do not proceed without heavy multi entity investigation and analysis.

Beacon Data Centers: Foreign-origin (Canadian), no confirmed tenant, no disclosed funding. Proposed Dove Creek facility operates behind-the-meter generators near Goodfellow Air Force Base—a cryptologic intelligence training installation. Eight distinct threat vectors apply regardless of ownership. This facility should not be built.

City Council Must Do This Before Any Land Transfer

• Hire a real estate attorney with experience on deals this size.

• Pass water use ordinance with binding caps, drought priority, automatic curtailment at each drought stage. Residential customers and essential services get priority over industrial draw.

• Publish third party (not cirrus) economic study before any development agreement vote. Show base case, market compression, and project failure scenarios.

• Name the anchor tenant. Require executed lease before any 380 vote.

• Structure land sale in three phases tied to verified milestones: ERCOT allocation, tenant lease, occupancy thresholds, environmental analysis, full year of property tax at projected rates.

• Do not offer incentives. City owns the land. That is leverage. Make the developer prove viability without public subsidy.

Commissioners Court: Use the Available Tools

Texas counties have no zoning authority over unincorporated land. A moratorium carries significant lawsuit exposure. Hill County faces a $100 million federal lawsuit in June 2026 attempting one. The tools available are narrower but meaningful:

- Condition county road access on full bonding and infrastructure cost recovery agreements executed before any facility breaks ground.
- File formal public comments on all TCEQ air permit applications from county facilities and request extended comment periods.
- Submit a formal request for a Department of Defense Military Installation Resilience Assessment under 10 U.S.C. Section 2864 for any facility within proximity of Goodfellow AFB.
- Submit formal CFIUS referrals for Cipher Digital and Beacon Data Centers. Goodfellow AFB is designated as a covered installation under Part 2 of 31 CFR Part 802, establishing a 100-mile radius within which certain foreign real estate transactions may be subject to federal review. Both proposed county sites fall within that radius.
- Intervene in Railroad Commission pipeline permitting proceedings for any behind-the-meter natural gas generation infrastructure.
- Engage the Army Corps of Engineers regarding environmental surveys at all creek crossings associated with proposed natural gas pipeline routes, particularly in the Dove Creek and Spring Creek corridors.

State Legislators Must Deliver Legislation in 2027

Senator Charles Perry (District 28, President Pro Tempore) and Representative Drew Darby (District 72, House Energy Resources Chair) have both publicly committed to data center regulation in 2027. Both represent San Angelo. Both must follow through with filed legislation, not just statements.

• Mandatory water usage reporting for data centers, quarterly reports to TCEQ, groundwater district, and municipality.

• County authority to impose conditions on large-scale industrial development without exposure to federal lawsuit.

• Revisit or revise HB 1223 sales tax exemption (projected $3.3B cost by 2028-29)

• Public hearing of Senate Water Committee in San Angelo before 2027 session opens.

Governance Concern: Representative Drew Darby

Representative Drew Darby chairs the House Committee on Energy Resources for the 89th Legislative Session and has represented District 72 — which includes Tom Green County — since 2007. That committee governs ERCOT interconnection policy, transmission infrastructure, and energy industry regulation: the framework that directly governs data center development in Texas. The following relationships are drawn from public records including Representative Darby's own official Texas House biography, OpenSecrets, Texas Ethics Commission filings, and Tom Green County public records. No finding of illegal conduct is made or implied. Texas ethics rules are among the most permissive in the country. These relationships are documented here because they are material to the public's understanding of who holds regulatory authority over this development.

- **Campaign contributions totaling $156,000+** from regulated energy companies, 2001–2022, as reported to the Texas Ethics Commission and compiled by OpenSecrets: AEP Texas ($21,000), Atmos Energy ($22,000), Oncor ($25,000), NextEra Energy ($10,500), Rural Friends of Electric Cooperatives ($27,000), NuStar Energy ($20,500), Texas Oil and Gas Association ($18,500), and Valero Energy ($11,000). AEP Texas signed Cipher Digital's 1 GW Colchis power agreement. These are companies whose rates, interconnection rights, and operating framework the House Energy Resources Committee governs.
- **$54,879 to the Darby Management Trust** from the Skybox land sale title premium. Tom Green County title commitment GF No. 2505041TG identifies Darby Title Inc. d/b/a Surety Title Company as the named title agent. Schedule D, a disclosure required by Texas law, shows the Darby Management Trust receiving 85 percent of the $64,564 owner's policy premium on that transaction, approximately $54,879. W. Drew Darby and Clarisa F. Darby are listed as directors and officers.
- **Sole author of HB 3970** (89th Session, 2025). This bill fast-tracks ERCOT interconnection approval for large industrial facilities that install their own on-site power generation, in practice, large natural gas turbines capable of powering the facility independently from the grid. Data centers are the primary intended beneficiary. Rather than waiting years in the ERCOT interconnection queue, a facility that commits to on-site gas generation receives expedited approval. Beacon Data Centers' proposed Dove Creek facility is designed to operate on exactly this model. Representative Darby is the sole

author — no co-authors. The chair of the energy regulatory committee wrote, alone, the legislation that clears the regulatory path for the development type proposed in his own district.

- **Counsel, Energy and Real Estate practice group, Jackson Walker LLP.** Confirmed by his own Texas House biography and UT Energy Institute profile. The energy and real estate clients of a major Texas law firm benefit directly from the regulatory environment his committee controls.
- **Chair, The Energy Council.** Confirmed by his own Texas House biography. A nonpartisan organization spanning over 12 states and provinces that by its own description facilitates dialogue among legislative policymakers on critical energy issues. The chair of the House Energy Resources Committee chairs the organization facilitating energy industry access to legislators.

These relationships, taken together and sourced entirely to public records and Representative Darby's own disclosures, place the Chair of the House Energy Resources Committee at the intersection of every financial interest connected to this development — as the regulator of the enabling framework, as the owner of the title company that handled the land transaction, as the sole author of the legislation making one proposed facility possible, as counsel to the energy and real estate practice group whose clients benefit from his committee's decisions, and as chair of the organization managing energy industry access to legislators.

None of this is alleged to be illegal. It is documented. San Angelo constituents are entitled to public confirmation from Representative Darby that his 2027 legislative commitments will be pursued independent of every financial relationship documented above. The test is not whether that confirmation is given. It is whether it becomes filed legislation with hearing dates.

The Window

San Angelo's negotiating position is strongest today, before any agreement is signed and before any land transfers. If this development is as sound as its proponents believe, it will remain sound after the required conditions are satisfied, the outstanding questions are answered, and the community has seen the terms it is being asked to accept.

First: An Important Distinction

A READER'S GUIDE Not All Data Centers Are the Same

The phrase "data center" is used to describe two fundamentally different types of industrial facilities that share a name but little else. Treating them as interchangeable has produced most of the confusion in the public debate. This report addresses both.

Note on terminology: Throughout this report, "data center" refers to Type 1 traditional colocation unless otherwise specified. "AI compute facility" or "hyperscale AI campus" refers to Type 2. Skybox refers to Type 1. Cipher Digital and Beacon Data Centers refer to Type 2. The financial risks, environmental impacts, regulatory tools, and community protections available are materially different for each.

	Type 1 **Traditional Colocation** San Angelo example: Skybox / Emergent	Type 2 **AI Hyperscale Compute** San Angelo examples: Cipher Digital (Colchis), Beacon Data Centers
BUILDOUT		
Power per rack	3 to 10 kW	**50 to 132 kW (2026) 240 to 600 kW projected 2027**
Cooling system	Air cooled, closed loop	Liquid cooling required
Air cooling ceiling	~25 kW max	Not applicable
Water use	**Very low**	**Extreme – Evaporative Cooled**
Construction cost	$8–$11M per MW	$15–$25M per MW
Build time	18 to 24 months per building 7-year full campus buildout	24 to 36 months
Heat output	Moderate	**Extreme — 40,000 households equiv.**
DEMAND AND TENANTS		
Tenant type	Multi-tenant, diverse sectors	**1–2 hyperscalers only**
Who owns equipment	Tenants own their hardware	Operator owns GPU clusters. Tenants lease compute.
Lease term	3 to 10 years	15 to 20 year take-or-pay
Lease rate	$100–$150/kW/month (high $190)	$180–$250+/kW/month
Overall market CAGR	**11% through 2030**	**Explosive? — AI dominant share**
AI segment growth	**Low-density segment 5–7% below headline**	**14% to 27% of workloads by 2027**
Oversupply window	2027 to 2029	2028 — Goldman Sachs flag
Long term demand	**Stable — persists**	**Uncertain — AI revenue unproven**
Revenue ceiling risk	# of racks and market price	**Low — built for future density**
Demand collapse risk	**Low**	**Medium — binary outcome**
FINANCING		
Financing model	Private equity, project debt	GPU collateral, circular financing
Risk profile	**Moderate if untenanted**	**High — speculative at scale**
Exit strategy	Owners state long-term commitment	**IPO or hyperscaler acquisition No confirmed exit strategy**

GPU collateral dependency	**None**	Core — depreciates rapidly
Circular financing risk	**Most Likely None**	**Significant — documented**
IPO pipeline risk	**Low**	**High — pension offload anticipated**
COMMUNITY IMPACT		
Permanent jobs	30 to 50	50 to 200
Construction disruption	**Temporary, moderate**	**Severe — Abilene example**
Housing pressure	**Medium – 800-1000 max**	**Significant**
Residential energy costs	**Upward — 600 MW draw**	**High — 1,000 MW regional draw**
Commercial energy costs	Peak pricing risk	**Significant peak pricing risk**
Property tax revenue	**Unconfirmed – Broad Claims**	**Zero — outside city limits**
State sales tax revenue	**Near zero — state exemption**	**Near zero — state exemption**
380 agreement tax impact	**Unknown — unpublished**	Not applicable — county land
Net tax benefit	**Unquantified —unpublished**	**Zero — no city revenue**
Regulation available	**Full city zoning and permits**	**None — county land, no zoning**
Water ordinance status	**Tabled June 2 — not finalized**	**Not applicable — no jurisdiction**
Environmental permits	City oversight	TCEQ self-reported only
Anchor tenant	**Not Confirmed**	**Not Confirmed**
ERCOT power allocation	**Not confirmed – Batch 0?**	**Cipher Batch Zero expected. Beacon: behind-the-meter.**
Land sale status	**Authorized — not yet closed**	**Private land — no city leverage**
Intended scale	600 MW public / 1.2 GW investor docs	**Cipher 1 GW / Beacon unconfirmed**

Each facility type carries different risks, different governance tools, and a different set of questions San Angelo must resolve.

The concerns raised in each chapter apply differently depending on which type of facility is being discussed. Reading a financial viability concern as applying equally to both types, or a regulatory protection concern as applying to a project already inside city limits, produces a distorted picture. This table maps each concern to its correct target and states the report's specific position on each.

Area of concern	Type 1: Traditional colocation	Type 2: AI hyperscale compute
Financial viability	**Long-term commercial market fit** Will lease rates at a secondary West Texas market sustain 20-year debt service? Revenue projections are unconfirmed. Stress tested against market surplus.The Cirrus study is unpublished. No anchor tenant has been named. The Skybox business model is legitimate but the numbers must be verified before the city commits.	**AI revenue unproven at scale** Circular financing between hyperscalers inflates apparent demand. GPU collateral depreciates faster than the debt written against it. The IPO pipeline positions retail investors and pension funds as the exit buyers when insiders are ready to leave.
Market timing	**Entering the market at a difficult moment** Occupancy rates peak in late 2026 then moderate through 2027 to 2029 as large volumes of new supply arrive simultaneously. A phased buildout building only what demand justifies, when it is justified protects both the city and the developer from committing to scale before the market absorbs it.	**Explosive growth but highly concentrated** AI compute demand is the dominant global growth driver. However only 5 to 6 companies worldwide are the relevant tenants and those tenants are increasingly building their own facilities rather than leasing from independent operators.
Power infra-structure	**No confirmed allocation** AEP Red Creek substation has available capacity but no firm power agreement exists. ERCOT Batch Zero allocation is unconfirmed. Competitor Cipher Digital is demonstrably ahead in the queue. Power confirmation should be a prerequisite for any land transfer.	**Fundamental infrastructure gaps** 1,000 MW demand requires transmission infrastructure that does not exist. Behind-the-meter gas generation requires a new high-capacity pipeline across privately held ranch land. No easements are confirmed. No gas supply agreement has been publicly disclosed.
Community gover- nance	**Gaps remain before any commitment** Inside city limits with full regulatory tools available. Water use ordinance tabled June 2. 380 agreement unpublished. Cirrus financial study not released. No anchor tenant publicly disclosed. Land sale authorized but not yet closed. Every one of these gaps should be closed before land transfers.	**No protection framework exists** Unincorporated county land. No zoning authority. No water caps. No noise ordinance. No clawback provisions. No environmental impact requirements beyond TCEQ self-reporting. City receives zero tax revenue from county projects regardless of scale.
Report position	**Structure a phased land sale.** Sell only the acreage required for Phase 1. Reserve remaining land with milestone-based triggers tied to confirmed power, named tenant, and verified occupancy. Build through the market timing risk — not ahead of it. A developer with real financing will not object to this structure.	**County and state action required now.** TCEQ air permit intervention. Railroad Commission pipeline process. Groundwater conservation district authority. State legislative coalition with Hood County and others. These tools exist. They do not require a moratorium and they cannot be met with a lawsuit.

The phased land sale model is not opposition to development. It is the structure that gives San Angelo maximum leverage while giving Skybox a clear path to acquire all 347 acres — earned through verified performance rather than granted upfront on promise alone. A developer with real financing, a real tenant, and real demand will welcome this structure because it mirrors how institutional capital already underwrites these projects. A developer who objects is telling the city something important.

Note: A fourth data center. *San Angelo Chamber of Commerce executive Michael Looney stated publicly that four data centers are interested in the Tom Green County area — not three. Two are known to the public (Skybox and Beacon). Cipher Digital is confirmed as a third through SEC filings. A fourth facility has not been publicly identified by name or location as of the publication of this report. This report covers only the three publicly documented proposals. The existence of a fourth underscores that the community's due diligence may be broader than the three visible projects suggest.*

Skybox's stated intent. Early SA1 marketing documents describe the campus as targeting AI and high-performance computing workloads at up to 1.2 gigawatts — not traditional colocation. Public descriptions and city planning figures conflict with each other and with developer materials. The 380 agreement, unpublished, may resolve these discrepancies. See the data integrity note at the end of this report for full detail.

Chapter 1: The AI Infrastructure Boom

Market context note: The speculation described in this chapter applies primarily to AI hyperscale compute facilities, not the traditional colocation model Skybox proposes. However the two markets are connected. AI infrastructure growth is gradually displacing conventional storage workloads, creating a slow headwind for traditional operators. The speculative financing risks belong overwhelmingly to the AI sector. The risk for traditional colocation is more conventional: entering a market with more supply than near-term demand can absorb.

The Roadshow

The artificial intelligence industry has produced something historically unusual: technology executives who function more like celebrities than deliberate tacticians. Product launches now resemble stadium concerts. Government announcements are staged for maximum visual impact. The executives at the center of this moment are not presenting engineering specifications. They are performing capital formation, using spectacle to generate momentum that makes skeptics feel like they are being left behind.

Nvidia CEO Jensen Huang draws crowds exceeding 25,000 people at his company's annual developer conferences, attendance figures more typical of major musical acts than chip manufacturers.

The $9,000 Jacket

Jensen Huang's signature leather jacket has become an unlikely financial indicator. Fashion analysts confirmed the jacket worn at recent keynotes is a Tom Ford design retailing between $5,000 and $9,000, and social media commentators began tracking Nvidia's stock price against the jacket's retail value. When Nvidia's stock dropped 23% following one conference, observers noted the jacket had also been 'downgraded' that cycle. It is a small detail that illuminates something larger: when a chip company's CEO becomes a fashion icon and his wardrobe becomes a market sentiment indicator, the line between technology investment and cultural spectacle has moved considerably. Citizens of San Angelo are being asked to make a 20-year infrastructure decision inside that spectacle.

On January 21, 2025, the White House staged one of the most significant technology announcements in recent American political history. The President stood in the Roosevelt Room flanked by the CEOs of OpenAI, Oracle, and SoftBank to announce Stargate, a joint venture promising $500 billion in American AI infrastructure investment. The image was deliberate: a sitting president lending the full symbolic weight of the executive branch to a private capital formation exercise. Hours later, a prominent tech billionaire and senior White House advisor publicly stated the companies did not actually have the money to back the announcement. The administration dismissed the concern without addressing it substantively.

This is the environment in which San Angelo is being asked to make a multi-decade infrastructure commitment. Communities across Texas are receiving versions of the same presentation: polished, urgent, and light on verifiable specifics. This report does not argue that the technology is without merit. It argues that the performance surrounding it deserves the same scrutiny any major land sale and tax incentive decision has always required.

It’s Real Estate. They Just Don’t Call It That.

Strip away the language of artificial intelligence and next-generation compute infrastructure and what remains is a straightforward real estate transaction. A company identifies land near a power source, constructs a large industrial building, fills it with equipment, and leases space to paying tenants. The tenants happen to be technology firms rather than logistics companies, but the underlying financial structure is identical to any industrial park development.

This distinction matters because the questions a community would typically ask a real estate developer are different from the questions generated by a technology announcement. Traditional real estate proposals prompt immediate scrutiny: Who is the tenant? What are the lease terms? What happens if the project stalls? What are the clawback provisions? The AI framing has suppressed those questions in city after city, replacing them with enthusiasm about economic transformation and fears of being left behind.

Investment manager Jim Chanos, widely recognized for predicting the collapse of Enron, has placed substantial financial bets against the data center industry. His assessment is direct: data centers hosting GPUs are a low-margin, low-return commodity business, “basically just landlords,” dressed in the language of artificial intelligence to attract investors who would never purchase a warehouse stock at equivalent valuations. Note: Chanos subsequently announced he is closing his primary hedge funds and returning capital to investors. This does not invalidate his analytical argument, but readers deserve that context.

Skybox, the company proposing the San Angelo campus, is a private equity-backed real estate developer specializing in a particular type of industrial building. Its revenue model depends on tenants signing long-term leases. Its exit strategy involves either refinancing against asset value or selling shares to outside investors. None of that is inherently problematic, but it means the questions owed to San Angelo residents are real estate questions, and they have not yet been answered.

The Circular Investment Loop

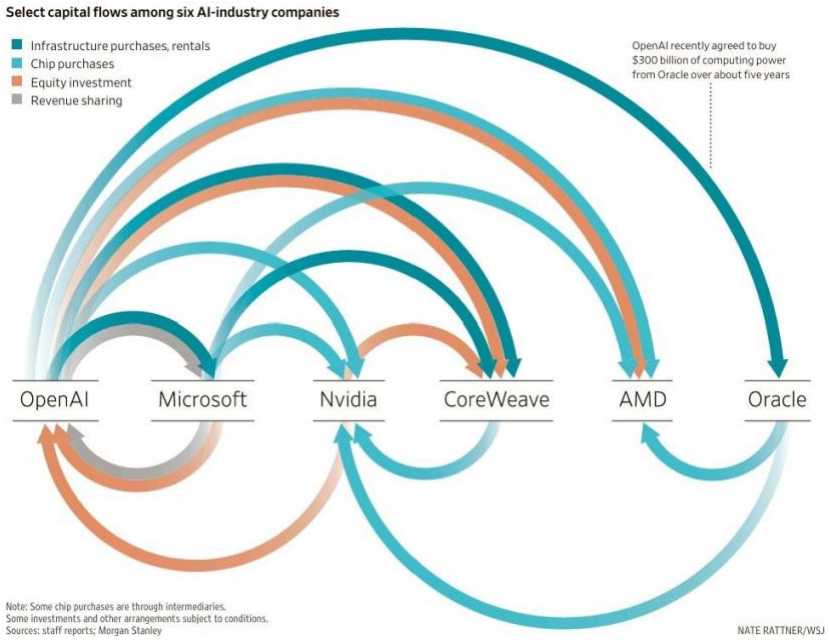
To understand why capital is moving so rapidly into data center construction, it is necessary to understand where that capital originates and where it ultimately returns.

Financial analysts have documented what they describe as a circular financing structure at the core of the AI infrastructure boom. Nvidia invests in Anthropic. Anthropic commits billions to purchase computing capacity on Microsoft Azure. Microsoft Azure runs on Nvidia chips. Oracle places a $40 billion order for Nvidia chips. OpenAI announces a $100 billion partnership with Nvidia for future infrastructure. The capital that leaves one company’s balance sheet as an investment returns to that company as hardware revenue, in some cases within the same fiscal quarter.

The Center for Public Enterprise’s peer-reviewed analysis of this structure describes the pattern as “roundabouting,” a term from classical economics describing investment that appears productive but is primarily circular. The concern is not that the individual companies are fraudulent. It is that a meaningful portion of the capital fueling the data center buildout is not new money entering the economy from genuine end-user demand. It is existing capital rotating

between related parties, inflating apparent valuations and creating the visual impression of momentum that then attracts genuinely new outside capital.

> **The Poker Table**
>
> *Imagine six players sitting around a poker table, each starting with $100 in chips. Round one: Player A raises big, wins the hand and rakes in the chips. Round two: Player B runs low so Player C loans him chips to stay in the game. Player B wins and pays Player C back with interest. Round three: Player A buys more chips from the house using winnings as credit, then bets against Player D, who borrows from Player A to cover losses. By now the chips are flying, deals are being made between hands, loans are being issued and repaid, and from across the room it looks like a high-stakes game with serious money on the line. But count the chips. They are the same chips that started the night, just papered with new IOUs. Nobody brought new money to the table. The danger comes when a newcomer walks in off the street, sees the action, and buys in assuming the chips represent real accumulated wealth. That newcomer's money is the only genuinely new money at the table. It is also the only money with nowhere to go when the other players decide the night is over. San Angelo is being asked to be that newcomer.*



GPU Collateral: Leveraging Depreciating Assets Instead of Revenue

The Nvidia graphics processing unit, the chip at the center of every AI data center proposal, has become something more than a computing device. It has become a financial instrument.

A single Nvidia GB200 system costs approximately $65,000. Facilities housing hundreds of thousands of these units represent hardware investments measured in the tens of billions of dollars. Companies are acquiring chips not only to generate computing revenue but to use as collateral for loans. A company holding $500 million in Nvidia hardware can borrow against that hardware, deploy borrowed capital to acquire additional assets, and use those chips as collateral for further borrowing. The result is a leverage structure built on assets that depreciate rapidly as newer generations arrive. GPU hardware generations turn over in roughly two to

three year cycles. The chips installed today will be commercially obsolete before most of these campuses are fully built.

The Center for Public Enterprise's 2025 report, "Bubble or Nothing," authored by Advait Arun, documents this pattern in detail, warning that the structure creates a category of risk that policymakers at every level, including municipal governments evaluating data center proposals, should understand before committing public assets. When chip values fall, the collateral basis for billions in loans will deteriorate simultaneously across the industry, creating cascading pressure on the companies that lease data center space and on the communities that sold land to those developers.

> **The Travel Trailer on a 30-Year Note**
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> *Buying today's AI chips and financing them long term is akin to taking out a 30-year mortgage on a travel trailer. You use it a few times, the new models start rolling off the lot, yours loses value fast, and the repairs start stacking up. But the note stays exactly the same. The dealer made his money on closing day. The bank collects interest for 30 years. The buyer is left making payments on something the market stopped valuing a long time ago.*

Chapter 2: The Financial Model Under the Hood

Market context note: This chapter addresses financial risks relevant to both facility types, but the GPU collateral, circular financing, and IPO pipeline sections apply to AI hyperscale compute facilities only. The demand, supply, and contractor sections apply to the broader market including traditional colocation.

How These Deals Actually Get Structured

The public narrative around AI data center investment focuses almost exclusively on the top line: billions announced, jobs promised, communities transformed. What receives far less attention is the sequence of financial moves that actually gets these projects built, and who benefits at each stage and who is left holding risk at the end.

The typical structure follows a predictable pattern. A private equity-backed developer identifies a site, secures preliminary agreements with local government, and uses those agreements to raise project debt against the anticipated value of the facility. Once constructed and partially occupied, the developer seeks to refinance at a higher valuation or pursues a public offering to bring in outside equity capital. That outside capital, which frequently includes pension funds and retail investors, is used to pay down the original construction debt. The original investors collect their returns and reduce their exposure. The outside investors inherit an asset whose value depends entirely on whether the tenant base holds.

JPMorgan projects up to $40 billion per year in data center securitizations, with leveraged finance providing approximately $150 billion over the next five years. Even at that scale, JPMorgan estimates a remaining $1.4 trillion funding gap that would need to be filled by private credit and government support. That is an extraordinary volume of debt being packaged and distributed to outside investors against assets whose long-term revenue depends on AI demand projections that have not yet been tested at real market prices.

The House Flip

Most people understand the basic house flip. You buy a property, renovate it, and sell it to someone else at a higher price before the carrying costs eat your profit. The sophisticated commercial real estate version works the same way, just with more zeros and a longer timeline. Build with borrowed money. Stabilize the asset with tenants. Sell shares to the public at a valuation that rewards your early risk. Exit before the long-term questions about the asset get answered. The community that hosted the development does not participate in that exit. It continues living next to whatever gets built.

The Demand Problem Nobody Is Discussing

Every data center proposal rests on a demand assumption: that businesses and consumers will need ever-increasing quantities of AI computing power, and that they will pay prices that justify the infrastructure being built to serve them. That assumption is now being tested in real time.

Uber's COO stated publicly that it was "getting harder to justify" AI spending because it was "very hard to draw a line" from that spend to useful consumer features, after the company's own technology chief confirmed Uber had burned its entire annual AI budget in four months. One major company accidentally spent $500 million in a single month on AI model usage after failing to set spending limits.

Industry analyst Ed Zitron identifies a structural root cause: every user of every AI subscription service is having their token costs subsidized and the actual cost of AI obfuscated, meaning that reported usage growth figures reflect artificially suppressed pricing rather than genuine sustainable demand. When AI companies move to full cost-recovery pricing, as Microsoft's GitHub Copilot began doing in June 2026, the demand picture changes significantly. GitHub Copilot users reported burning through 50% of their monthly credits in a single prompt. That is not the profile of a mature, stable demand base capable of supporting decades of data center lease obligations.

The Gas Station That Sells Below Cost

Imagine a gas station that sells fuel at half the actual cost to build its customer base, funded by investors who believe volume will eventually justify the losses. Cars line up around the block. The owner reports record usage numbers. Investors point to the lines as proof of demand. A developer proposes building a refinery next door to serve all those cars. Nobody stops to ask what happens to the lines when the price goes up to what gas actually costs. That is the AI demand story in 2026. The lines are real. The price is not.

Market Timing Risk: What It Means for San Angelo's Revenue Projections

The financial projections San Angelo is being asked to rely upon assume that demand for data center space will remain strong enough to justify the rates Skybox would need to charge tenants to service its debt and generate meaningful tax revenue. That assumption deserves scrutiny.

Average wholesale colocation rates reached $184 per kilowatt per month in the first half of 2025, up from approximately $120 per kilowatt per month in 2021, driven by record low vacancy rates of 1.6% across primary North American markets. Those elevated rates are the foundation of every optimistic revenue projection being presented to communities like San Angelo. They are also, by historical standards, unsustainably high, and the industry knows it.

The data center industry leased over 15 gigawatts of capacity in 2025. Almost none of that capacity came online in 2025. It is all scheduled to arrive in late 2026 and 2027, meaning a large volume of new supply is about to hit the market simultaneously. Goldman Sachs Research projects occupancy rates peaking at more than 95% in late 2026, followed by a moderation starting in 2027 as more data centers come online and demand growth slows.

The timing is directly relevant to San Angelo. Skybox is proposing to break ground in 2026 or 2027, the precise window when analysts project supply to surge and rates to soften. A facility that takes two to three years to build would be entering a tenant market at the point of maximum supply competition, not maximum pricing power. This is a timing risk, not a permanent market failure. A phased buildout approach, building only what confirmed demand justifies at each stage, is the most effective way to navigate it.

Who Is Betting Against This

While municipal governments across the country are approving land sales and tax incentives for data center projects, a parallel conversation is happening in the professional investment community.

Jim Chanos, widely credited with predicting the collapse of Enron, has stated that data centers hosting GPUs are a low-margin, low-return commodity business and that investing in companies converting to the neocloud model is problematic because they are “basically just landlords” in a market where everybody is building the same thing at the same time. Note: Chanos subsequently announced he is closing his primary hedge funds. His analytical argument stands, but this context is relevant.

Michael Burry, widely recognized for accurately predicting the 2008 mortgage crisis, has taken more than a billion dollars in bearish options betting against leading AI stocks. Peter Thiel has fully exited his Nvidia position. Bridgewater and Tiger Global have pared back significant AI positions.

> **Reading the Smart Money**
>
> *When the people who correctly called the last two major financial crises start placing large public bets against an asset class, it is worth pausing to ask what they know. They are not always right. But when multiple experienced investors independently reach the same bearish conclusion about the same industry at the same time, a community being asked to sell land and offer tax incentives to that industry should at minimum want to understand what those investors are seeing.*

The DeepSeek Moment

On January 20, 2026, a Chinese AI laboratory called DeepSeek released a model that matched the performance of leading American AI systems at a claimed training cost of approximately $5.6 million, compared to the more than $100 million OpenAI spent training GPT-4. Analysts questioned whether that figure captured all associated costs, but even at higher estimates the efficiency gap was dramatic enough to rattle markets.

Nvidia’s stock fell nearly 17% in a single trading session, erasing $589 billion in market capitalization, the largest single-day loss in stock market history. The message to the market was direct: if equivalent AI performance can be produced at a fraction of the compute cost, the demand assumptions underlying trillions of dollars in planned infrastructure investment require

serious reconsideration. Data center construction announcements continued largely uninterrupted. That disconnect between a fundamental challenge to the demand thesis and the unbroken momentum of capital deployment is itself worth examining.

A Warning to San Angelo Contractors and Suppliers

This section is directed specifically at local businesses, construction firms, materials suppliers, and service contractors who may be approached to participate in the Skybox campus development. The opportunity is real. So is the risk.

The telecom bubble burst when debt markets closed, leaving over-leveraged companies stranded mid-construction. Subcontractors and suppliers who had extended credit or deferred payment were among the hardest hit, with limited legal recourse against companies that had restructured or entered bankruptcy. A financing disruption at the developer level translates directly into non-payment exposure for everyone downstream in the construction chain.

Specific risks include payment defaults if project financing is restructured mid-construction, scope reductions that eliminate contracted work after mobilization costs have been incurred, and extended payment terms that damage cash flow for smaller firms.

The guidance is straightforward. **Require payment bonds on all contracts above a defined threshold. Insist on milestone-based payment schedules tied to verified project financing rather than projected completion dates. Consult with a construction attorney before signing any agreement that extends significant credit to the developer.**

> **San Angelo Has Seen This Before**
>
> *In 2008 San Angelo welcomed a Portuguese company called Martifer with considerable fanfare. The Standard-Times called it "the first significant influx of well-paying specialized manufacturing jobs to the Concho Valley in more than 20 years." The city, county, and state granted more than $8 million in incentives and abatements, with the project promising 225 jobs and a $40 million facility. The wind industry softened. The jobs never materialized at scale. The city filed suit to recover $2.7 million, with its own attorney stating plainly: "The taxpayers did not get what they bargained for." When Martifer failed, the facility was converted to structural steel production, which fit within San Angelo's existing industrial base. A hyperscale AI data center has no such conversion path. San Angelo has learned this lesson before at a cost of millions of dollars and years of lost opportunity.*

> **Get Paid Before They Leave Town**
>
> *The most dangerous customer is the one who makes the project sound too good to be careful about. The bigger the announcement, the more important it is to have payment protections in writing before a shovel goes in the ground. A developer who objects to reasonable payment bonds and milestone schedules is telling you something important about their confidence in their own financing.*

Project Big Sky: The $35 Billion Loop Made Real — June 2026

In June 2026, the circular financing structure described in this chapter became concrete in a single documented transaction. Apollo and Blackstone raised approximately $35 billion through a special purpose vehicle called Atlas SP Partners to purchase Google-designed tensor processing units made by Broadcom, then lease those chips to Anthropic. The Financial Times reported the deal as one of the largest private credit SPV transactions in history.

The circularity is direct. Google owns 14% of Anthropic. Anthropic uses the SPV to lease chips that Google designed and Broadcom manufactured. Broadcom backstops the senior debt, meaning if Anthropic cannot pay, Broadcom covers it. Morgan Stanley arranged the deal and simultaneously lent money to investors buying the notes. Apollo's Athene insurance arm, which manages long-term insurance liabilities backed by ordinary policyholders' premiums, purchased $24 billion of the A2 notes at 5.75% yield. The SPV is structured off-balance sheet so none of this appears on any single company's books.

The most revealing detail is the junior tranche. Without Broadcom's backstop, the debt priced at 8.5%, roughly double the senior rate. That 8.5% is what the market actually thinks Anthropic's standalone credit risk is worth. Anthropic is a five-year-old company that has raised approximately $127 billion in total funding, reports revenue on a gross basis that inflates headline figures by counting cloud reseller pass-through as revenue, and had confidentially filed for an IPO when this deal closed. Investors pitched on the deal were not given access to Anthropic's financials because the pending IPO filing created a quiet period. They committed $35 billion based on Broadcom's guarantee, not Anthropic's fundamentals.

The working class loses three times in this structure. As the community absorbing construction inflation when the facility is built. As the insurance policyholder whose premiums back the A2 notes through Athene. And as the retail investor or pension fund that buys secondary paper after the insiders have already exited. The $35 billion Project Big Sky transaction is the poker table analogy from earlier in this chapter executed at institutional scale, documented in a single deal, in June 2026.

The Investment Grade Rating Belongs to Broadcom

The deal is marketed as Anthropic financing. It is actually Broadcom credit risk dressed in Anthropic's name. Remove the guarantee and the market prices this debt at high-yield rates. A five-year-old company whose financials investors were not permitted to see during the deal process is not investment grade. The infrastructure being built to serve that company in communities across Texas is being financed on the guarantee, not the fundamentals. San Angelo should know what is backing the paper that backs the development that is asking to sit on city land. Source: Financial Times via ZeroHedge, June 2026.

Cipher Digital Inc. (NASDAQ: CIFR) — What the SEC Filing Actually Shows

> *Source: Cipher Digital Inc. Form 10-Q, Quarter Ended March 31, 2026, filed with the U.S. Securities and Exchange Commission May 5, 2026. All figures below are drawn directly from the SEC filing. This is a public company with mandatory disclosure obligations. These are not estimates or projections. They are audited financial statements.*

Cipher Digital Inc. is a publicly traded company on the Nasdaq Stock Market. Unlike the other two proposals in this report, Cipher is a public company. That means its financial condition is a matter of public record. And the public record is stark.

Net loss Q1 2026: $114.3 million. In a single quarter. That is nearly triple the Q1 2025 net loss of $38.975 million. The company's losses are not shrinking as it scales. They are accelerating. The Q1 2026 loss alone represents more than three times the value of the land San Angelo is being asked to sell to Skybox.

Total debt: $4.73 billion. $4.376 billion long-term and $355 million short-term as of March 31, 2026. Against total stockholders' equity of $714 million. The debt-to-equity ratio is approximately 6.6 to 1. For context: a ratio above 2 to 1 is generally considered high-risk in capital-intensive industries. This company is at 6.6 to 1 and adding debt.

Interest expense Q1 2026: $59.2 million. Per quarter. Annualized, that is $236.8 million per year in interest payments alone. Bitcoin mining revenue for Q1 2026 was $34.8 million. The company is paying $59 million per quarter in interest on a business generating $35 million per quarter in its primary revenue. Interest expense exceeds primary revenue by 70%. This is the financial equivalent of a household whose mortgage payment is larger than its entire income.

Accumulated deficit: $1.118 billion. Cipher Digital has never been profitable in its corporate history. It has lost more than $1 billion in total since inception. The Colchis site represents a proposed additional capital commitment in the billions from a company that has never generated a profit.

Restricted cash: $3.53 billion. This is the figure that appears most misleading in press coverage. Cipher reports large cash balances that create an impression of financial stability. $3.53 billion of that cash is restricted — pledged as collateral against its debt obligations, held in debt service accounts, or reserved for specific construction requirements. It cannot be freely deployed for the Colchis build. The freely available cash, after accounting for restricted balances, is a fraction of the headline figures.

The AWS deal is not for the Colchis site. This requires specific clarification because it has been misreported. Cipher's $5.5 billion, 15-year lease with Amazon Web Services is for the Black Pearl facility in Wink, Texas — Winkler County, not Tom Green County. The Colchis site, which is the one proposed adjacent to San Angelo, has no confirmed anchor tenant. Colchis is a site option and a power agreement. It is not a building with a signed lease.

The controlling owner is selling out before Colchis generates revenue. As documented in SEC Schedule 13D/A filings, Valerijs Vavilovs — the Latvian national who is the ultimate controlling beneficial owner of Cipher Digital through a chain of British Virgin Islands and Dutch holding companies — entered a variable prepaid forward sale contract on May 11, 2026, receiving $100 million upfront against 5.67 million pledged shares. Additional forward contracts raised $131.2 million more. On June 4, 2026, Bitfury Top HoldCo B.V. sold 1.2 million Cipher shares in open market transactions. The settlement dates on the forward contracts run through April to June 2027 — approximately when AWS rent at the Black Pearl facility is scheduled to commence. The controlling owner is monetizing his position on a schedule that extracts maximum value before the Colchis revenue thesis is tested. That is useful information for any community evaluating whether the company will still be the same company in 2028.

What the 10-Q says about Cipher's own assessment of its risk

> *Cipher's own risk factor disclosures, submitted to the SEC, are direct: if the company is unable to complete data center construction in a timely manner it could have a material adverse effect on its ability to make payments on outstanding indebtedness. Tenant guarantees are only effective after rent commences. The HPC business strategy may not perform as planned. The company may not be able to generate sufficient cash to service all of its indebtedness. These are not analyst opinions or this report's conclusions. They are statements that Cipher's own legal team approved for submission to federal regulators. The community adjacent to this company's proposed campus deserves to read them.*

The Bottom Line: Financial Viability of the Three Projects

Skybox — the only project with a realistic near-term path. Skybox is a traditional colocation developer with an established operating track record, a functioning financing model, and a legitimate product in a real market. The San Angelo proposal has a specific site, a specific power source, and a purchase and sale agreement with the city. Its challenges are market timing — entering a market at the moment supply is projected to surge and rates to soften — and the absence of a confirmed anchor tenant or ERCOT allocation. A phased buildout that begins with one or two buildings once a confirmed tenant signs a lease is financially defensible and community-responsible. A full six-building campus at $17.4 million in land cost before a tenant is named is a speculative real estate bet. The community should structure its agreement to fund the former without enabling the latter. Guidance is to avoid infrastructure investments or deferred tax programs for this deal.

Cipher Digital Colchis — a 2028 speculation on financing that does not yet exist. Cipher Digital's Q1 2026 10-Q filing with the SEC presents a company carrying $4.73 billion in total debt, a net loss of $114.3 million in a single quarter, accumulated deficit of $1.118 billion, and interest expense of $59.2 million per quarter that exceeds its entire bitcoin mining revenue. The company has never been profitable. Its $3.53 billion in restricted cash is pledged as collateral against its debt and is not available for construction. The AWS deal generating anticipated revenue is for the Black Pearl facility in Wink, Texas — a separate site. The Colchis campus in Tom Green County has no confirmed anchor tenant. It holds an option on land from Juvo Energy, not a deed. It has a power agreement with AEP, but energization is targeted for 2028 pending ERCOT final review that has not concluded. The controlling beneficial owner — a Latvian national operating through British Virgin Islands and Dutch holding companies — was actively selling shares and entering prepaid forward contracts monetizing his position in May and June 2026, before Colchis revenue has commenced. The Colchis project as currently structured is not a deliverable data center campus. It is a site option and a power agreement attached to a company whose financial structure makes the probability of a completed 1-gigawatt facility by 2028 very low.

A note on Cipher's Colchis ownership structure. Cipher's 2025 Annual Report filed with the SEC discloses that in November 2025 the company purchased 53% of the equity in Colchis LLC, a joint venture entity. The remaining 47% noncontrolling interest is held by an undisclosed partner. Cipher's own filing notes that this noncontrolling interest is redeemable by its holders upon events outside of Cipher's control — meaning the minority partner can force a buyout under certain conditions that Cipher cannot prevent. The identity of the 47% partner has not been publicly disclosed in any Cipher filing or communication reviewed for this report. That is a material gap: San Angelo's Intelligence base and adjacent development is next to a joint venture whose minority owner is unknown. Source: Cipher Digital 2025 Annual Report, SEC EDGAR, Note 8: Investment in Joint Ventures.

Beacon Data Centers Dove Creek — no public record of financing, permitting, or confirmed development. As of June 2026, Beacon Data Centers has held one community meeting and appeared once before the Tom Green County Commissioners Court. It has filed no TCEQ air permit application, no Railroad Commission pipeline permit, no SEC filing, and no

financing disclosure. No anchor tenant has been publicly named. No acreage or megawatt specification for the Dove Creek site has been publicly confirmed. The company's parent, Nadia Partners, is a private fund whose investor base is entirely opaque. There is nothing in the public record on which to base a financial viability assessment because there is no public record of a project beyond a community meeting presentation. That is not a development in early stages. That is an idea that has not yet become a project.

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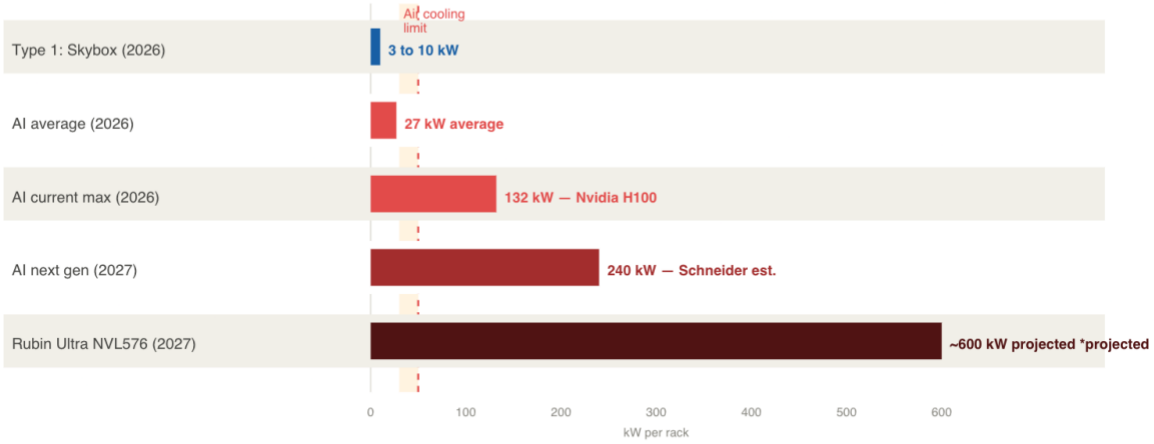
Chapter 3: The Power Problem Nobody Can Solve

Market context note: The ERCOT queue, nuclear timeline, and transmission sections apply primarily to all Tom Green County proposals. The behind-the-meter gas generation section applies specifically to Type 2 AI facilities, particularly Beacon Data Centers in Dove Creek. Skybox's proposed grid connection through AEP is a different and less concerning power model, but remains unconfirmed.

POWER DENSITY COMPARISON

Rack Demand Then and Projected (kW per rack)

The gap between Type 1 traditional colocation and AI hyperscale compute requirements is not incremental. It is a 60-fold difference that determines cooling technology, construction cost, retrofit requirements, and long-term revenue potential.



Type 1 / Skybox range	3 to 10 kW per rack
AI average 2026	27 kW — Uptime Institute 2025 Global Survey
AI current max 2026	132 kW — Nvidia H100 fully loaded rack — Schneider Electric
AI next gen 2027	240 kW — next generation estimated — Schneider Electric
Rubin Ultra NVL576 2027	~600 kW projected — Nvidia stated specification

Air cooling threshold: Air cooling becomes thermally insufficient above 30 to 50 kW per rack. Skybox's air-cooled design serves Type 1 traditional workloads well. It cannot serve current or projected AI compute densities without liquid cooling retrofits estimated at $200 to $400 per kW. At 600 MW campus scale, a full retrofit would cost between $120 million and $240 million — capital not included in any publicly disclosed project financing.

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The ERCOT Crisis: More Demand Than the Grid Can Handle

Before a single server rack is installed in San Angelo, Skybox must secure a firm power allocation from ERCOT, the Electric Reliability Council of Texas, which manages approximately 90% of the state's electrical grid. That allocation is not guaranteed. It is not close to guaranteed. And the timeline for resolution extends well beyond the optimistic projections being presented to the community.

ERCOT is currently reviewing requests to add 438 gigawatts of power in Texas, more than five times the amount of energy used during the state's record peak demand. Within that aggregate load, 200 data centers are seeking large-load connections in 2026 alone. ERCOT received 225 new large-load interconnection requests in 2025 through mid-November alone, compared with 152 total requests across the entire period from 2022 through 2024.

In response, ERCOT has developed a new framework called Batch Zero, designed to separate projects that can demonstrate genuine readiness from speculative proposals. ERCOT voted on June 2, 2026, the same day San Angelo's city council tabled its water use ordinance, to streamline its process for data centers looking to connect to the power grid.

Critically, ERCOT has not allocated power to the Skybox project because it requires proof of a long-term commitment before doing so. Meanwhile, the competing project just 2,500 feet away is further along. Cipher Digital stated in its first quarter 2026 earnings materials that its 1,000 megawatt Colchis site is expected to be included in Batch Zero. Cipher has already secured a direct-connect agreement with AEP and has advanced studies with ERCOT.

The Nuclear Timeline: Why Power Is Not Coming Anytime Soon

Industry proponents frequently invoke nuclear energy as the long-term solution to data center power demands. Historical development timelines do not support nuclear as a near-term answer for any project breaking ground in the next several years.

The most recent nuclear plant completed in the United States, Vogtle Units 3 and 4 in Georgia, had an original budget of $14 billion, reached a final cost of approximately $36.8 billion, and took 15 years to build. Historically, 75% of American nuclear reactors have taken between 10 and 15 years to build. Small modular reactors remain largely in the design and permitting phase in the United States, with the first commercial deployment timelines targeting the early 2030s at the earliest. A data center campus under consideration for approval in 2026 cannot rely on power that does not yet exist.

Behind the Meter: What Diesel and Natural Gas Generation Mean for San Angelo

This section applies specifically to Type 2 AI hyperscale facilities, particularly Beacon Data Centers' proposed Dove Creek campus. Beacon has stated publicly that its facility would be powered entirely from on-site natural gas generation, with a grid connection used only for backup. Beacon Data Centers has Canadian origins through Nadia Partners. Its proposed site in Dove Creek sits in proximity to Goodfellow Air Force Base, a cryptologic intelligence training installation. The national security implications of a foreign-originated AI compute facility near a sensitive military installation have not been publicly addressed by any local, state, or federal official. This concern is documented in Chapter 5 alongside the formal federal referral process available to address it.

A standard TCEQ readily available permit for engine power generation authorizes operations of up to ten diesel-fired engines. A campus requiring 30 to 40 generators would require multiple permits or a case-by-case new source review, a process with far less community visibility and public comment opportunity than a standard permit application.

Beyond the permitting question, there is a fundamental infrastructure question that has not been publicly addressed: where does the natural gas actually come from? Supplying a hyperscale behind-the-meter generation facility would require a substantial new natural gas pipeline spur connecting the site to existing Permian Basin infrastructure. That connection would require a significant new line crossing multiple miles of privately held ranch land. Every parcel represents a separate negotiation. Landowners who decline to grant easements create gaps that cannot be bridged without invoking legal processes that take years.

The broader pipeline context compounds this concern. Matador Resources has secured firm transportation capacity on the Energy Transfer Hugh Brinson Pipeline specifically to move natural gas east toward Gulf Coast LNG export terminals, where pricing is significantly higher. That pipeline is expected online in the fourth quarter of 2026, and Matador has committed to moving 500,000 MMBtu per day toward those markets. If major producers are committing their gas to higher-value export contracts, what assurance does Tom Green County have that sufficient supply will be available at competitive prices to fuel on-site generation over a 20-year horizon?

> **The Pipeline Across the Ranch**
>
> *Building a new natural gas spur to a remote industrial site sounds straightforward on a map. On the ground it means knocking on the doors of every ranching family whose land sits between the pipeline and the facility, negotiating easement agreements that will affect their property permanently, and securing signatures from people who have every right to say no. A developer who has not yet secured those easements has not yet secured their fuel supply. Those are not the same thing.*

The Transmission Line Problem: Who Pays and Who Gets to Say No

Connecting a hyperscale data center campus to the ERCOT grid requires building new high-voltage transmission infrastructure that must cross land, follow approved routes, and be paid for by someone. ERCOT has approved a $9.4 billion project to build 1,109 miles of new 765-kilovolt transmission lines across Texas as part of a nearly $33 billion Strategic Transmission Expansion Plan. This does not resolve the local last-mile connection problem for any individual facility.

In Texas, authorized transmission service providers such as AEP hold the legal right to use eminent domain to acquire easements for transmission infrastructure. A February 2026 filing before the Public Utility Commission of Texas raised serious constitutional questions about whether eminent domain can lawfully be used to acquire easements for transmission projects whose primary purpose is to serve private data center clients. This legal challenge is active and unresolved.

Transmission costs in ERCOT have already risen more than threefold since 2010. Those costs are socialized across all Texas ratepayers through utility bills. San Angelo residents could end up contributing to the cost of transmission infrastructure that primarily benefits a private data center campus through their monthly AEP bills, with no direct say in that allocation.

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Chapter 4: Action Plan for Skybox — What the City Council Must Do

Credit Where It Is Due

Before listing what remains unfinished, this report acknowledges what the San Angelo City Council has actually accomplished. The community debate around data centers was loud, fast-moving, and often driven more by fear than facts. Against that pressure, the council did something important: it slowed down, asked hard questions, and put enforceable protections on paper that will outlast this specific proposal and apply to every comparable industrial project inside city limits going forward.

The council voted unanimously 7-0 on May 5, 2026 to advance new land use regulations requiring future data centers to go through a conditional use permit process rather than being allowed by right. That single vote was more consequential than it may have appeared. It means no future industrial facility of this type can simply show up, build, and operate without public review. That protection now belongs to San Angelo permanently regardless of what happens with Skybox.

The land use ordinance adopted 6-0 on May 19, 2026 includes definitions, setbacks, height restrictions, design guidelines, noise regulations, lighting standards, and landscaping requirements. Each of those categories represents a specific community protection that did not exist before this council acted. The specific standards embedded in the ordinance are worth naming clearly because they are meaningful and because they set a precedent for every industrial project that follows.

Noise: The original proposal set the noise limit at 60 decibels at the property line. Council members pushed to tighten it to 55 decibels, consistent with typical municipal nighttime standards. The council did not accept the developer's preferred standard. They negotiated it down. A sound study is now required before any conditional use permit is issued.

Dark sky lighting: The ordinance incorporates dark sky lighting standards requiring downward-directed, shielded fixtures with warm-toned output, controlling light spillover and sky glow. For a rural West Texas community with working ranches and agricultural operations surrounding the city, this is not a minor aesthetic point. It sets a standard that will now apply to future light manufacturing development across the city.

Setbacks: Setbacks for data centers adjacent to residential areas were set at 200 feet, with fencing placement to be considered during the conditional use phase.

Height restrictions and design review: Structures over 25,000 square feet require urban design review with mandatory buffering and screening requirements.

Wastewater discharge: The council voted 5-1 on June 2, 2026 to approve wastewater discharge regulations for any future data centers in the city, governing how cooling water and domestic wastewater is handled before re-entering city systems.

Prohibition on vibration, odors, and emissions beyond lot lines: These are written into the ordinance as baseline prohibitions.

These are not token gestures. They represent a genuine regulatory framework that a city without an engaged council would not have. One council member stated the goal plainly: “I want to make sure we set the standard for rural West Texas. This is our chance to make sure that’s done right.” That statement reflects what the best of this council’s engagement has produced. The standard is now set.

> **A Permanent Win for San Angelo**
>
> *The regulations this council passed for data centers will be the regulations applied to the next industrial proposal, and the one after that. Setting a strong environmental and community baseline now is not about any single company or project. It is about establishing what San Angelo expects from every industrial operator that asks to use city infrastructure, city land, and city water. That standard now exists in the city code*

City Council: Actions Before Any Land Transfer

Retain a real estate attorney with experience structuring asset sales of this size. This is not standard. It is a major municipal transaction involving public land, long-term tax commitments, and infrastructure obligations.

Finalize the water use ordinance with binding caps before any vote or land transfer. Author’s suggestion is Phase 1 — two buildings 6.4 million gallons annually, 3.2 million per building. That figure should be independently verified by the city's own engineers and written into the ordinance as a hard annual cap, not an administrative guideline subject to waiver. The ordinance must establish residential customers and essential services as first priority over industrial draw at every declared drought stage, include automatic curtailment triggers that activate without requiring a council vote, and prohibit any switch to evaporative cooling without full council approval and a revised environmental review.

Commission an independent third-party economic study. Not Cirrus Advisors. The FOIA record shows that Emergent CEO Chris Sumter introduced Cirrus Advisors to Planning Director Rick Weise on March 23, 2026 as the developer's own tax consultant. An economic study conducted by the developer's consultant and presented to the city as independent analysis is not independent analysis. The city should retain a firm with no prior relationship to Emergent, Skybox, or any related entity. That study must present a base case, a market compression scenario reflecting projected supply conditions through 2027 to 2029, and a project failure scenario. No development agreement and no 380 vote should occur before that study is published and reviewed.

Require a named anchor tenant with an executed lease before any 380 vote or incentive agreement. A letter of intent is not a tenant. The entire revenue case for this project depends on who fills these buildings and at what rate. That information must be public before the council commits anything.

Publish the 380 agreement terms before any council vote. The community owns the land. The community is entitled to see the contract before the asset transfers.

Structure the land sale in three phases tied to verified performance milestones not to time intervals. Phase 1 transfers only after ERCOT power allocation is confirmed in writing, anchor tenant lease is executed, water ordinance is finalized with binding caps, and an independent environmental review is complete. Phase 2 transfers only after Phase 1 occupancy thresholds are independently verified and 12 consecutive months of water ordinance compliance are documented. Phase 3 transfers only after Phase 2 thresholds are met and the city has received a full calendar year of property tax revenue at the projected rate.

No incentives. No delayed tax rebates. No infrastructure allowances. No public subsidy The city owns 347 acres adjacent to confirmed power infrastructure in a business-friendly state. That is the incentive. A developer with real financing and a real tenant does not need a public subsidy on top of it.

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Chapter 5: Action Plan for AI Hyperscale Facilities — County and State

The Situation Tom Green County Is Actually In

Tom Green County commissioners have been candid about their position. Commissioner Shawn Nanny said it plainly at the May 26, 2026 commissioners court meeting: "We've been stripped of our authority, and when you ask the local leaders, they say, 'We like to leave that to the local elected officials.' I think what they mean is, they want to give us the blame, because we get stuck in the middle. We know what you want; we have no authority to do anything about it."

County Judge Lane Carter noted at the same meeting that Beacon Data Centers had not contacted his office or appeared before the court despite company representatives being present in the room. The court scheduled time at the June 2 meeting for Beacon to answer questions — the first formal engagement with county leadership. A company proposing a significant industrial facility in a county should not require a public moratorium discussion to prompt that introduction.

This chapter is written for the community. The commissioners have already shown good faith. They need tools that work. Most of those tools are not at the county courthouse. They are in Austin and in federal regulatory processes that no developer can sue away.

The Lawsuit Threat: What It Actually Means

Commissioner Nanny held a copy of a $100 million federal lawsuit filed against Hill County after it passed a one-year moratorium on data center development. As of June 8, 2026 — the day before this report was first published — Hill County rescinded that moratorium. The lawsuit won without going to trial. A 65-page federal complaint naming elected officials personally was enough to make an entire county government stand down.

That is not a hypothetical threat. It is a documented outcome that happened in Texas in the weeks before this chapter was written.

A $100 million lawsuit against a rural Texas county is not primarily about money. No developer expects to collect $100 million from Hill County. It is about creating a number large enough to frighten the county's insurance carrier, large enough to make individual commissioners calculate their personal financial exposure, and large enough to make the next county considering a moratorium decide it is not worth the risk. The amount is chosen to intimidate, not to compensate. Understanding it as a deliberate legal strategy — not a legitimate legal principle — is the first step toward finding tools that are not vulnerable to the same attack.

What the Commissioners Court Can and Cannot Do

Texas counties have no zoning authority in unincorporated areas. The commissioners court cannot zone unincorporated land, prohibit specific development types, impose water use restrictions on private industrial facilities, require environmental impact studies as a permit condition, or impose noise ordinances, setback requirements, or lighting standards on private land. A moratorium, as Hill County discovered, is legally vulnerable to federal challenge under current Texas law.

What the court can do is meaningful and should be used immediately.

Condition county road access. Heavy construction traffic for a facility the scale of Beacon's proposed campus requires county roads. The commissioners court controls those roads and can require road use agreements with full bonding for damage repair, weight restrictions, timing restrictions during agricultural operations, and maintenance cost recovery from the developer before any construction begins. This is infrastructure management squarely within the court's authority and cannot be challenged the same way a moratorium can.

Request a Department of Defense Military Installation Resilience Assessment under 10 U.S.C. Section 2864. Goodfellow Air Force Base is a cryptologic intelligence training installation within 12 miles of the Dove Creek site. A formal request from the commissioners court initiates a federal review process that developers cannot sue to stop.

Submit formal CFIUS referrals. Beacon Data Centers operates through Nadia Partners, a Canadian entity with undisclosed investors. Goodfellow Air Force Base is on the CFIUS Part 2 covered installations list effective December 9, 2024, establishing a 100-mile review radius. A formal CFIUS referral from the county costs nothing and initiates federal review outside the county's legal exposure.

Engage the Army Corps of Engineers on environmental surveys at all creek crossings associated with Beacon's proposed natural gas pipeline routes. The Dove Creek and Spring Creek corridors involve waterway crossings that require Army Corps permitting under Section 404 of the Clean Water Act. A formal request for review from the county initiates that process. The Army Corps cannot be sued by a developer for conducting its required permitting review. Creek crossing findings can require design modifications, alternative routing, or additional environmental mitigation that significantly affect project timelines and costs.

File formal TCEQ public comments on all air permit applications from county facilities and request extended public comment periods. Institutional comments from the commissioners court carry weight that individual citizen comments do not.

Intervene in Railroad Commission pipeline permitting for Beacon's proposed natural gas infrastructure. The commissioners court has standing to intervene formally in that process, creating a contested proceeding that can run 12 to 18 months.

Pass resolutions calling for state legislative action. The Tom Green County commissioners unanimously adopted a resolution in April 2026 calling for stronger statewide data center regulation. Nonbinding at the county level — directly relevant to legislators heading into an election cycle.

Build a legislative coalition with other affected Texas counties before the 2027 session opens. Tom Green County is not alone in this situation. A coordinated multi-county legislative ask carries significantly more weight than any single county's resolution.

The Tools That Cannot Be Sued Away

The most powerful tools available to this community operate outside the commissioners court entirely and cannot be met with the Hill County lawsuit playbook.

TCEQ Air Permit Intervention. Beacon's proposed behind-the-meter natural gas generation requires TCEQ air permits. Any person or governmental entity can submit formal comments during the public comment period. Technically grounded comments from physicians, environmental engineers, agricultural operators, and affected landowners can extend the review period and trigger a contested case hearing — a formal legal proceeding that can take 12 to 18 months. Developers can participate in it. They cannot sue citizens for participating in it. An environmental attorney specializing in TCEQ contested case proceedings is the single most valuable resource available to this community right now.

Railroad Commission Pipeline Permitting. Beacon's natural gas model requires a new pipeline spur and a Railroad Commission permit. That process allows formal intervention by affected parties. Combined with the TCEQ air permit contested case, these two processes can create a timeline that outlasts a speculative developer's financing window.

Army Corps of Engineers Creek Crossings. Any pipeline crossing of Dove Creek or Spring Creek requires Section 404 Clean Water Act permitting from the Army Corps of Engineers. This is a mandatory federal process. The Army Corps cannot be sued by a developer for conducting it. Findings can require design modifications, alternative routing, or environmental mitigation that materially affect project feasibility.

Groundwater Conservation District Authority. The Concho Valley Groundwater Conservation District has statutory authority over groundwater use that operates independently of county zoning and is not vulnerable to the same lawsuit strategy used against Hill County. If any aspect of Beacon's operations threatens groundwater, the district has standing to impose conditions and restrict water use permits.

Landowner Easement Rights. Every landowner along the proposed pipeline route has the right to refuse an easement. Every refusal creates a gap that cannot be bridged without years of eminent domain litigation. Landowners who want to exercise that right should have independent legal counsel before signing anything a developer presents to them.

The State Level: Two Men Who Hold the Keys

The most powerful lever available to Tom Green County is not in San Angelo or in the Commissioners Court Meeting Room. It is in Austin. Two men represent this community directly at the state level and hold committee positions that give them more authority over this situation than any local official.

Senator Charles Perry, District 28 — Guardrail Legislation Required in 2027

Senator Perry is not a minor figure in Texas politics. He is the President Pro Tempore of the Texas Senate, the second most powerful position in that chamber. He chairs the Senate Committee on Water, Agriculture, and Rural Affairs. He co-chairs the State Water Implementation Fund for Texas Advisory Committee. He sits on the Finance, State Affairs, and Transportation committees. He represents District 28, which includes San Angelo, Tom Green County, and the precise communities being affected by the data center buildout described in this report.

Senator Perry has engaged publicly on data center water issues. At an October 2025 town hall in Abilene, constituent questions focused heavily on data centers and Senator Perry addressed them directly. He has stated that his committee plans to propose guardrail bills on data center water usage during the 2027 legislative session. His committee produced a formal interim charge specifically examining water consumption by energy-intensive technologies including data centers. That engagement is meaningful and reflects constituent pressure working as it should.

Senator Perry's committee has the interim charge. His committee has the jurisdiction. His district has the specific problem. He has the institutional power as President Pro Tempore to ensure the 2027 session produces binding legislation rather than another round of study assignments. San Angelo and Tom Green County are asking him to use that power specifically and urgently.

Senator Perry has done serious water infrastructure work. The $1 billion annual investment in SB 7 is a genuine contribution to Texas water security. The question for 2027 is whether that commitment extends to the specific communities in his own district facing industrial water demand pressure from facilities his current framework does not adequately address. The guardrail bills he has committed to proposing are the right response. This community is asking him to deliver them.

Specific asks for Senator Perry:

Convene a formal public hearing of the Senate Water, Agriculture, and Rural Affairs Committee in San Angelo before the 2027 session opens, with Tom Green County commissioners, city officials, ranching families, and community members as invited witnesses. Not in Austin. In San Angelo.

Introduce legislation in the 2027 session granting commissioners courts explicit authority to impose reasonable conditions on large-scale industrial development in unincorporated areas without exposure to the federal lawsuit strategy documented in this chapter.

Introduce legislation requiring any data center drawing from a municipal water supply to execute a formal drought priority agreement, establishing residential, agricultural, and essential service priority over industrial draw during declared drought stages, as a condition of state permit approval.

Introduce mandatory water usage reporting requirements for data centers with quarterly reports to TCEQ, the relevant groundwater conservation district, and the supplying municipality.

Use his position as President Pro Tempore to ensure that the 2027 session produces binding legislation, not another set of interim charges and study assignments that give the appearance of action while the development continues.

Representative Drew Darby, District 72 — Stated 2027 Priorities Require Delivery

Representative Darby has represented District 72 since 2006 and chairs the House Committee on Energy Resources. He has publicly committed to the following 2027 priorities: mandatory water usage reporting for data centers, alternative water sourcing requirements, and foreign ownership restrictions. He described SB 6, which passed in 2025, as an important first step.

These are the right priorities. The 2027 session is the first full legislative opportunity to address what Tom Green County is experiencing right now. The community's job is to hold those commitments to specific filed legislation with bill numbers and hearing dates — not statements of intent.

One word in his public statement is worth noting. Representative Darby said he would refile his ERCOT reform legislation. Bills that need to be refiled are bills that did not pass. His own stated priorities did not become law during a session in which he chaired the committee that governs them. The community should track not just whether legislation is filed in 2027 but whether it advances through committee and reaches a floor vote.

The right standard is outcomes, not statements. Representative Darby has the committee chairmanship, the institutional relationships, and the stated commitment. What remains to be seen is whether that combination produces filed, numbered, dated legislation that becomes law before the next development cycle reaches San Angelo.

The financial relationships that create additional context for that evaluation are documented in the following section.

The Documented Financial Relationships: A Timeline

The following is drawn entirely from public records: Texas Ethics Commission filings, IRS Form 990 disclosures, Open Secrets campaign finance data, Angelo State University biographical records, the Texas Secretary of State, and the title commitment for GF No. 2505041TG — a primary source document filed with Tom Green County. No private communications or confidential sources are referenced.

2001–2022 — Energy industry campaign contributions. Over a 20-year period, Representative Darby's campaigns received documented contributions from energy companies whose regulatory environment his committee directly governs. Sourced to Open Secrets and Texas Ethics Commission records: **American Electric Power (AEP) — $21,000. Atmos Energy — $22,000. Oncor — $25,000. NextEra Energy — $10,500. Rural Friends of Electric Cooperatives — $27,000. AEP is the same utility that signed the 1-gigawatt Direct Connect Agreement enabling the Cipher Digital Colchis project.** Atmos Energy operates the interstate gas line running along the northern boundary of the Skybox and Cipher sites, visible on the project map. **Oncor builds and operates the transmission infrastructure** that ERCOT's interconnection queue governs. These are not small donors making general political contributions. They are regulated entities making contributions to the chairman of the committee that regulates them.

2013 — HB 1223 passes. The data center sales tax exemption becomes law. Initial cost: $14.6 million per biennium. Projected cost by 2028–29: $3.3 billion per biennium. Darby chairs House Energy Resources throughout the decade during which this exemption grows from a modest incentive into the state's largest single technology subsidy. He has never publicly called for conditioning, revising, or rescinding it.

2016 — Becomes director of The Energy Council. Sourced to the organization's own IRS Form 990 filings. The Energy Council is a multi-state nonprofit that facilitates energy policy dialogue between legislators and industry representatives. Darby appears as an uncompensated director on filings through at least 2023. The Chairman of the House Energy Resources Committee has been a formal director of an industry-legislative dialogue organization for at least seven consecutive years.

2023 — Declares business interests in Jackson Walker LLP while registered as lobbyist. Sourced to Texas Ethics Commission personal financial disclosure. Darby serves as Of Counsel to Jackson Walker LLP's Energy and Real Estate practice group — the firm's own website and his public legislative biography confirm this. Data center development generates substantial real estate and energy transactional work. The Chairman of House Energy Resources serves as counsel to a major law firm's energy and real estate practice while governing the regulatory environment in which that practice operates.

89th Legislative Session (2025) — Authors HB 3970 as sole author. HB 3970 creates an expedited ERCOT interconnection process for large loads and defines and enables behind-the-meter power generation at scale. The bill enables precisely the operating model that Beacon Data Centers proposes for its Dove Creek facility — self-generated power without ERCOT grid connection. Darby is the sole author. The bill passes. Its beneficiaries include the exact category of development being proposed in his district.

May 2025 — Skybox purchase and sale agreement executed. The City of San Angelo and Skybox Datacenters LLC execute a purchase and sale agreement for approximately 347 acres of city-owned land. The title commitment, GF No. 2505041TG, names the title agent as Darby Title Inc., doing business as Surety Title Company. Schedule D of the commitment, which Texas law requires to disclose all premium recipients, states that the entity receiving a portion of

the title insurance premium is the Darby Management Trust. **The estimated owner's policy premium is $64,564.00. At 85% retention by the title agent, the Darby Management Trust receives approximately $54,879 from this single transaction.** W. Drew Darby and Clarisa F. Darby are listed as directors and officers of the company. This is disclosed in the title commitment itself — a document filed in Tom Green County public records.

December 2025 — Assignment of buyer interest to San Angelo Data Center Campus Power LLC. Skybox Datacenters LLC assigns its buyer interest to San Angelo Data Center Campus Power LLC, a Texas limited liability company managed by Skybox Partners IV LLC (Delaware), signed by Travis K. Young as President. The same title commitment, the same title agent, the same premium recipient. The assignment was executed December 19, 2025.

June 2026 — Darby states 2027 priorities. Mandatory water usage reporting. Alternative water sourcing. Foreign ownership restrictions. These are the right priorities. He has not called for rescinding or conditioning the $3.3 billion sales tax exemption. He has not publicly addressed the title company's role in the Skybox transaction. He has not proposed legislation granting counties authority over large-scale industrial development in unincorporated areas. The community is entitled to ask whether those silences and those priorities exist in the same mind without tension, and to judge the answer by what legislation is filed, numbered, and brought to a floor vote in January 2027.

What the public record shows — plainly stated

Representative Darby has received campaign contributions from AEP, Atmos, Oncor, and NextEra — the energy companies whose regulatory framework his committee controls. He has served as a director of a multi-state energy industry organization for at least seven years. He serves as Of Counsel to a major law firm's energy and real estate practice. His family trust is disclosed as receiving approximately $54,879 from the title insurance premium on the Skybox land sale — a transaction enabled by the legislative and regulatory framework his committee governs. He authored the legislation enabling behind-the-meter generation that benefits the development category proposed in his district. No law requires recusal in Texas for any of this. The community does not need a legal violation to ask hard questions. It needs the documented facts. Those are above.

Specific asks for Representative Darby:

File legislation in the 2027 session codifying mandatory water usage reporting for data centers, with reports submitted quarterly to TCEQ, the relevant groundwater conservation district, and the municipality supplying water. Not a study. A filing with a number and a hearing date.

File legislation requiring data centers to demonstrate alternative water source plans before drawing from municipal or groundwater supplies, with preference for treated wastewater or produced water from oil and gas operations as you have already publicly stated.

File legislation on foreign ownership of data centers near military installations, addressing the CFIUS gap for facilities within a defined radius of installations with cryptologic or signals intelligence missions, as you have publicly stated you intend to do.

File legislation granting commissioners courts explicit authority to impose road use agreements, bonding requirements, and infrastructure protection conditions on large-scale industrial development in unincorporated areas without exposure to the federal lawsuit strategy documented in this chapter.

Hold a public committee hearing in District 72 before the 2027 session opens. Not in Austin. In San Angelo or in Precinct 4. Let your constituents testify on the record about what they have experienced and what they need from the legislature.

Publish a public timeline: by what date will each of your stated priorities be filed as legislation, who will co-author each bill, and what is the target committee hearing date. Constituents should not have to discover whether their representative has acted by reading the Texas Legislature Online after the session has closed.

> **Stated Priorities Are Not Legislation**
>
> *A representative who says the right thing in a public statement and then chairs a committee that produces no relevant legislation has done something precise: he has managed constituent pressure without reducing it. The way to prevent that outcome in 2027 is to arrive at the session with organized constituents, specific bill language, named co-authors, and a public timeline. Statements become legislation when constituents make the political cost of inaction higher than the political cost of action.*

A note on legal disclosure and the role of this report

Texas law does not prohibit a state legislator from owning a title company that profits from real estate transactions in his district. It does not prohibit him from receiving campaign contributions from regulated energy companies whose operating environment his committee governs. It does not prohibit him from serving as counsel to a law firm whose practice group benefits from that same regulatory framework. Texas ethics rules for legislators are among the most permissive in the country, and none of the relationships documented in this section are illegal on their face.

What Texas law does require — through the Texas Disciplinary Rules of Professional Conduct governing attorneys, statutory conflict of interest frameworks, and common law obligations — is disclosure in certain circumstances where private financial interests intersect with public duties or professional representation. Whether any disclosure obligation was triggered by any of the relationships documented here, and whether any required disclosure was made, is a legal question this report is not equipped to answer and does not attempt to answer.

This report is journalism. Its job is to document what the public record shows and to make that record accessible to the people who need it. The people whose job it is to evaluate whether a disclosure obligation was triggered, whether it was met, and what consequences follow if it was not — are attorneys. If any attorney reading this report believes the documented facts warrant further legal inquiry, the primary source documents are all publicly available. The title commitment GF No. 2505041TG is on file at Tom Green County. Texas Ethics Commission personal financial disclosures are public record. Form 990 filings for The Energy Council are available through ProPublica. The Texas House official biography naming Representative Darby's business interests is at house.texas.gov. The Jackson Walker LLP website lists him as Of Counsel to their Energy and Real Estate practice. The documents exist. The questions they raise are legal questions.

The Full Cost to Texans: Taxes, Land, and Who Actually Pays

The community debate in San Angelo has focused primarily on what Tom Green County gets from data center development. The question equally worth asking is what Texas as a whole gives away to make that development happen, and who bears the cost. The answer is substantial, specific, and largely invisible in local economic development presentations.

The sales tax exemption: $3.3 billion and growing. Texas House Bill 1223, passed in 2013, created a sales tax exemption for qualifying data center equipment and electricity. When it passed the cost was estimated at $14.6 million for the first two-year budget cycle. As of 2026 the **Texas Comptroller projects the cost at $3.3 billion for the 2028-29 biennium alone**. The Texas Tribune reported that this annual cost could pay for the entirety of the state's new school voucher program, or it could double the size of a state disaster fund to help local communities prevent flooding. The Senate Finance Committee, on which Senator Perry sits, has an active interim charge specifically studying this exemption. The 2027 legislative session must revisit HB 1223. At minimum the Legislature should revise the exemption to condition it on community benefit requirements, mandatory water reporting, and county regulatory authority. If those conditions cannot be met, the Legislature should consider rescinding the automatic exemption entirely and replacing it with a merit-based application process that requires demonstrated community benefit before public subsidy is granted. Neither Senator Perry nor Representative Darby has publicly stated a position on rescinding, revising, or conditioning the exemption. That silence, given their committee positions and the $3.3 billion cost, is the accountability question this community should be asking loudly and publicly.

The property tax abatement stack. Beyond the state sales tax exemption, the data center industry benefits from multiple layers of property tax relief that are available under Texas law. Chapter 312 of the Texas Tax Code allows local governments to exempt new industrial improvements from property taxes for up to 10 years. The JETI Act, signed in 2023, provides a 50% abatement on school district property taxes for 10 years for qualifying projects. Data centers can potentially access both. The combined effect of the full incentive stack available under Texas law: a data center can avoid state sales tax on equipment and electricity through HB 1223, avoid local property taxes for up to 10 years through a Chapter 312 agreement, and avoid school district property taxes for 10 years through JETI. Whether San Angelo is negotiating any of these local instruments has not been confirmed publicly. What is confirmed is that the terms of any agreement under negotiation have not been published. The community deserves to know what incentives, if any, are being offered before any vote is taken.

The transmission line: 4,000 miles of private land. The most direct impact on private property rights from data center development in Texas is happening across 4,000 linear miles of private ranch and agricultural land where the state is pursuing eminent domain to build 765-kilovolt transmission lines. ERCOT's $33 billion Strategic Transmission Expansion Plan explicitly lists data centers among the primary demand drivers requiring new transmission infrastructure. AEP Texas is constructing the Howard-Solstice 765-kV line, approximately 300 miles, with eminent domain proceedings already affecting landowners along the route. Easements run 200 to 300 feet wide. Steel towers stand 18 stories tall. Rural Texas landowners

are being asked to give up their property permanently so that private data center companies can connect to a grid they are filling beyond capacity.

> **Who Actually Pays**
>
> *The $3.3 billion sales tax exemption is paid by every Texas taxpayer who funds schools, roads, and disaster relief from general revenue. The Chapter 312 and JETI property tax abatements are paid by every resident who pays property taxes to fund local schools and services. The transmission line easements are paid by the ranching families and agricultural operators whose land is seized so that private data centers can connect to a grid they are overloading. The local infrastructure costs are paid by the communities that host the facilities. The profits go to the investors. The question for elected officials who represent the people paying these costs is straightforward: what have you done to ensure your constituents received fair value in return?*

The Coalition Already Forming

Tom Green County is not alone in this situation. Community groups from Hood County, Round Rock, Waco, and Taylor have already called on the Governor to address data center regulations. Hood County identified a 1999 state law granting special watershed protection powers as a potential legal tool that other counties have not yet explored. Each of those communities has documented concerns, organized constituents, and relationships with state legislators that, combined with Tom Green County's specific situation, create a coalition that is geographically and politically diverse enough to be taken seriously in Austin.

The Texas Observer has reported that the House Speaker and Lieutenant Governor released 2026 interim charges directing five separate committees to study data center regulation, including the House Natural Resources Committee examining total water usage and the House State Affairs Committee evaluating the regulatory framework for community planning. Those interim charge assignments signal that the 2027 session will take up data center regulation in some form. The question is whether the legislation that emerges protects communities or protects the industry. That outcome depends on which constituency shows up more organized, more specific, and more persistent.

Joining the coalition means sharing this report's documentation, coordinating testimony across committees, and presenting a unified West Texas front at the 2027 session. Commissioner Nanny's public statements, the commissioners court resolution, the city council's ordinance work, and the documented community engagement in San Angelo are already a stronger evidentiary record than most communities produce. Adding the legislative ask structure in this chapter to that record gives the coalition something to deliver to every state legislator who represents affected communities.

What Organized Looks Like

Organized is not a petition. Organized is a briefing document delivered in person to Senator Perry's office, Representative Darby's office, and the offices of committee chairs handling data center interim charges, before August 2026. Organized is a named contact person in Tom Green County who follows up monthly and publishes the responses publicly. Organized is constituents who show up to Austin committee hearings and testify on the record. This report is designed to be the briefing document. The rest is the community's work to do.

The Environmental Case for County and State Action

The environmental concerns at the county level are materially different from those at the city level and deserve to be stated clearly.

Beacon's proposed Dove Creek facility would operate on natural gas generation bypassing the ERCOT grid. That means 30 to 40 diesel and natural gas generators running continuously on agricultural land, in a precinct where Commissioner Nanny noted there are two major rivers and multiple creeks feeding into major reservoirs serving the region. The cumulative air quality impact of continuous large-scale industrial generation in an agricultural airshed that currently meets clean air attainment standards has not been evaluated. The impact on the watershed has not been studied. No independent environmental review has been conducted or requested.

The TCEQ self-reporting framework that applies to these generators was not designed for continuous large-scale industrial generation. It was designed for occasional backup power. Applying a backup power permitting framework to continuous primary generation is a regulatory gap, not a regulatory approval. The community's job is to make that gap visible to TCEQ through the formal comment process and to make it visible to legislators through the 2027 session.

> **The Rivers Run Through It**
>
> *The Concho River flows through Precinct 4. So does the South Concho. So do Spring Creek and Dove Creek. Those waterways feed the reservoirs that supply drinking water to this region. An industrial facility operating 30 to 40 continuous generators on their banks, permitted under a framework designed for backup power, without independent environmental review, is not a theoretical risk. It is an unexamined one. Unexamined risks in West Texas have a history of becoming very real problems. The community has every right to demand that this one be examined before it becomes the next PaulAnn.*

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Senate Committee on Water, Agriculture, and Rural Affairs — Texas Senate — https://senate.texas.gov/cmte.php?c=700

Texas Water Plan Ignores Data Center Surge — E&E News, May 2026 — https://www.eenews.net/articles/texas-water-plan-ignores-data-center-surge-2

$1 Billion Per Year Toward Texas Water Issues — KXAN, January 2025 — https://www.kxan.com/texas-water/1-billion-per-year-toward-texas-water-issues-state-leaders-propose-new-push

When the AI Cloud Comes for Texas Water — Texas Observer, April 2026 — https://www.texasobserver.org/texas-legislature-data-center-boom-water

Tom Green County Calls for Stronger Data Center Regulation — San Angelo Live, April 2026 — https://sanangelolive.com/news/county/2026-04-20/tom-green-county-calls-stronger-data-center-regulation

TCEQ Air Quality Compliance and Enforcement — https://www.tceq.texas.gov/compliance

Readily Available Permit: Engine Power Generation — TCEQ — https://www.tceq.texas.gov/permitting/air/guidance/newsourcereview/rap/rap-eng

A National Security Dimension This Report Cannot Fully Address

This report is a community policy and financial analysis document. It is designed to inform city council members, county commissioners, state legislators, local journalists, and San Angelo residents making decisions about land, water, and public assets. It is not a national security document and makes no claim to be one.

However, the three facilities proposed in Tom Green County sit in geographic proximity to Goodfellow Air Force Base — the United States military's primary training installation for cryptologic intelligence, signals intelligence, imagery analysis, and information warfare personnel across all four military branches. The concentration of multiple gigawatt-scale AI compute facilities adjacent to that installation raises questions about electromagnetic environment integrity, network security, and the physical infrastructure available to any future owner of these facilities that are beyond the scope of a community policy report to evaluate.

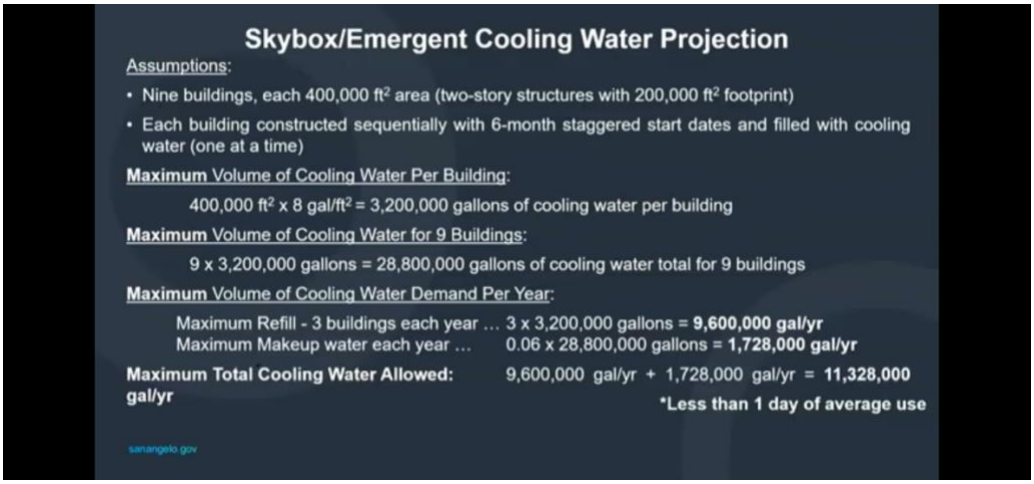
A separate national security notification covering these concerns in technical detail has been submitted to the Committee on Foreign Investment in the United States (CFIUS), the Department of Defense, the National Security Agency, US Cyber Command, the FBI San Antonio Field Office, the FAA Southwest Regional Office, and the offices of Congressman August Pfluger, Senator Charles Perry, and Representative Drew Darby. That document is a companion to this report, not a part of it. It addresses the national security dimensions that this report identifies but does not attempt to analyze.

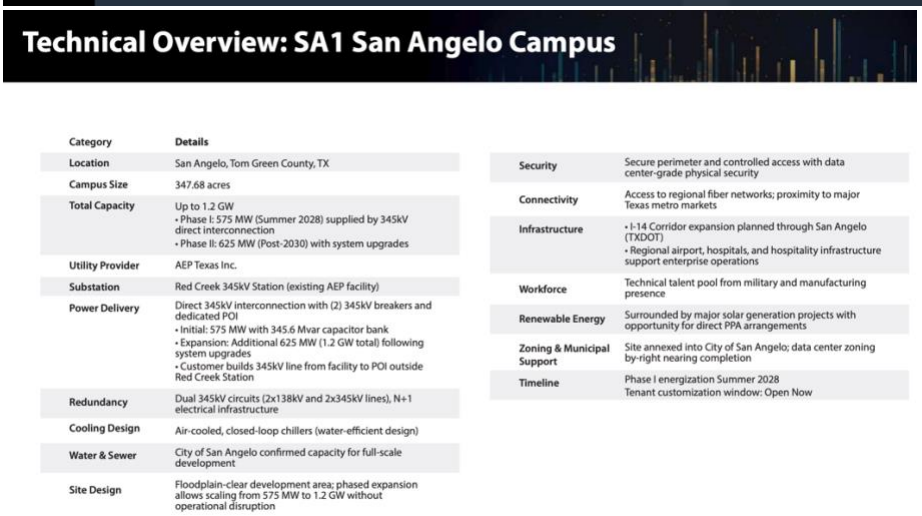
For the purposes of this community report, the relevant point is simple. The ownership of any of these facilities can change through normal commercial activity — IPO, secondary sale, investor entry, leadership change — without triggering automatic regulatory review. Infrastructure once built cannot be unbuilt. The electromagnetic environment around Goodfellow, the network attack surface, and the physical security posture of the installation are affected by what gets built in its vicinity regardless of who currently owns it. That is a permanent consequence of a development decision being made right now. The people whose job it is to evaluate those consequences should be doing so before construction begins, not after. This report has ensured they have been formally notified.

A Note on Data Integrity and the Limits of This Report

This report takes the conservative path throughout. Where figures conflicted, the more conservative and better-documented number was used. Where specifications were unconfirmed, that was stated explicitly.

The gap between public statements and official documents is real and worth naming. This report uses six buildings at 248,000 square feet for the Skybox campus — the figure consistently reported in public sources. A city of San Angelo slide presented to council on June 12, 2026 uses nine buildings at 400,000 square feet for its planning assumptions. Emergent Data Centers' own fundraising documents describe the SA1 campus as targeting up to 1.2 gigawatts — materially larger than the 600 MW figure most widely cited. No official explanation for these discrepancies has been offered publicly.





The size, scale, and type of the facilities described in this report may be understated. The 380 economic development agreement whose terms remain unpublished may contain specifications and commitments that would change this analysis significantly. Treat the figures here as a documented floor, not a ceiling. That the full picture is not yet public is itself a finding of this report.

About the Author

Spencer Matthews is a third-generation San Angeloan with a seventeen-year career in management consulting, private equity analysis, and market strategy. He has served more than 30 organizations across industries ranging from family-owned businesses to Fortune 100 companies, including work at Hitachi Consulting as a Senior Management Consultant focused on private equity, where he conducted footprint and market analysis, developed go-to-market strategies, and implemented trade promotion frameworks. He later served as Manager of Market Strategy and Client Engagement at Saxony Partners before founding a boutique strategy firm delivering vision plans, financial models, merger and acquisition growth strategy, and market entry frameworks to organizations in transition.

His first entrepreneurial venture was built around water conservation technology for agricultural producers, giving him direct operational familiarity with the water resource constraints that frame much of this report. His financial work includes REIT financial model development and private equity analysis, providing the foundation for the revenue scenario modeling and debt structure analysis documented here. He has contributed significant work to economic planning initiatives in San Angelo and has studied the economic gardening model as a framework for building durable local economies from existing assets rather than imported capital.

He currently works in leather goods manufacturing industry and cross-border trade with Mexico, with operations connecting the Concho Valley to international supply chains. That experience informs the trade, manufacturing, and free trade zone perspective offered in the companion document on San Angelo's industrial future.

This report was researched and written without compensation of any kind. No individual, company, or organization paid for its production or had editorial input into its findings. The author has no financial interest in any of the companies or projects discussed herein.

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Recommended Source for Detailed Financial Analysis

For readers seeking deeper financial analysis of the AI infrastructure sector, the author recommends Ed Zitron's newsletter Where's Your Ed At, available at wheresyoured.at. Zitron provides rigorous, independent analysis of AI business models, demand economics, and the gap between AI industry claims and verifiable revenue performance. His work is cited in Chapter 2 of this report and informed several of the financial risk assessments contained herein.